Question 1: Solution

Smooth Train rides plc (Term 1, 2025)

Question 1 – Onerous lease contract (4 marks)

A contract is onerous if the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received from the contract.

(1 mark)

The unavoidable net cost of fulfilling the contract is £14 million (£20 million benefits less £34 million costs) and the cost of terminating the lease is £17 million. Therefore, both options result in a loss and the lease contract is onerous.

(1 mark)

Although the finance director has made the decision to comply with regulations and terminate the lease, this is not necessarily relevant when determining how to measure the onerous contract as the least onerous outcome is always assumed.

(1 mark)

Smooth should recognise a provision in the year ended 31 October 2024 for the least onerous outcome of £14 million.

(1 mark)

Total: 4 marks

Question 2 – Disclosure in line with SASB (7 marks)

Metric 1: Gross global Scope 1 emissions

Smooth has complied with the first metric by including information regarding the Gross global Scope 1 emissions, standing at 15,000 metric tonnes CO_2-e.

(1 mark)

Metric 2: Strategic discussion of managing emissions and meeting targets

Smooth has included details of its short-term plan to manage Scope 1 emissions but it has not included a discussion of its long-term plan to manage Scope 1 emissions.

(1 mark)

The draft disclosure does not include information relating to its emissions reduction targets nor any analysis of performance against targets.

(1 mark)

Smooth should provide details of its longer-term strategy around management of greenhouse gas emissions and provide details of its emission reduction targets and performance against those targets in the short term and longer-term.

(1 mark)

Metric 3: Total fuel consumed, including renewable %

Smooth has included an analysis of current performance, stating the total fuel consumed at 500,000 GJ.

(1 mark)

However, there is no mention of the percentage of fuel consumed that is renewable.

(1 mark)

It is recommended that Smooth provides more information regarding the percentage of fuel consumed that is from renewable sources, including if this is nil.

(1 mark)

Total: 7 marks

Question 2: Solution

Sapphire plc

Evaluation of whether disclosures meet SASB requirements

Overall, the requirements of the SASB standard have been partially met.

(1 mark)

FB-AB-410a.1 Metric (1)

Sapphire has included disclosures of the total weight of packaging in metric tonnes and so has met the requirements of this metric.

(1 mark)

FB-AB-410a.1 Metric (2)

Sapphire has included disclosures of the total percentage made from recycled or renewable material and so has met the requirements of this metric

(1 mark)

FB-AB-410a.1 Metric (3)

However, it has not specifically disclosed what percentage of its packaging is recyclable, reusable or compostable, and, therefore, it has not complied with Metric 3 of the SASB standard.

(1 mark)

It may be that Sapphire does not have this information readily available. However, if that is the case, it should explain and consider providing what information is available in relation to the area covered by this metric.

(1 mark)

FB-AB-410a.2

Sapphire has included a discussion of its strategies and actions that will reduce the environmental impact of packaging, specifically its initiatives to reduce weight and increase sustainable sourcing and recycling and has met this requirement.

(1 mark)

Evaluation of the extent to which disclosures provide useful information

Disclosures are relevant if they include all material information.

(1 mark)

In Sapphire's case, they have included almost all relevant information as defined by the SASB standard, in a form which is understandable and without irrelevant information.

(1 mark)

Disclosures are a faithful representation if they are complete, neutral and accurate.

(1 mark)

In Sapphire's case, the quantitative disclosures are specified precisely by the SASB standard and so, to the extent that Sapphire has only disclosed two out of three metrics, we can say that the information is partially complete. The objective disclosures are likely to be neutral and accurate.

(1 mark)

The qualitative disclosures lack detail, so they may not be complete or accurate.

(1 mark)

There appears to be a bias towards including positive information, as there are no areas identified for improvement, so they may not be neutral.

(1 mark)

Some of the disclosures are vague. For example, there is no concrete information about the effectiveness of Sapphire's collaboration with local authorities and trade bodies. There are only imprecise references to improvement rather than achievement, and there is no indication of, for example, what proportion of paper and board packaging is sustainably sourced.

(1 mark)

Total marks (14 marks)

Question 3: Solution

Grenadine plc

Requirement 1

IFRS Sustainability Disclosure Standards

IFRS Sustainability Disclosure Standards require entities to provide sustainability-related financial disclosures, ie information about sustainability-related risks and opportunities that affect the entity's financial prospects.

(1 mark)

Entities using IFRS Sustainability Disclosure Standards apply financial materiality, using the same definition that is used in IFRS Accounting Standards. Information is relevant if omitting, misstating or obscuring it could reasonably be expected to influence the decision that the primary users (investors and lenders) make based on that information.

(1 mark)

The different approaches reflect the variation in the intended users of information. Information under IFRS® Sustainability Disclosure Standards is produced for the benefit of specific user groups: actual and potential investors and lenders. These groups are the same as the users of general-purpose financial reports.

(1 mark)

GRI Standards

GRI Standards take a different approach and require an entity to describe the impact of the business on the environment and society.

(1 mark)

Entities apply impact materiality. GRI reports therefore allow users to make informed assessments of an organisation's contribution to sustainable development.

(1 mark)

Information is included in GRI reports if it is relevant to any stakeholders within the value chain, such as consumers, suppliers, local communities, etc, and not just to investors and lenders and is, therefore, wider in nature.

(1 mark)

Total: 6 marks

Requirement 2

Overall, Grenadine partially complies with the requirements of GRI 203-1 Energy Consumption within the Organisatiion.

(1 mark)

Requirement a)

This requirement has been met as Grenadine has disclosed total energy consumption from non-renewable sources in gigajoules.

(1 mark)

Requirement b)

This requirement has been partially met as Grenadine has disclosed total energy consumption from renewable sources in gigajoules, but has not disclosed the renewable fuel types used.

(1 mark)

Requirement c)

This requirement has not been met as Grenadine has not provides a breakdown of the consumption for energy, heating, cooling and stream.

(1 mark)

Requirement d)

This requirement has been met as Grenadine has disclosed that it does not sell electricity and implied no other energy is sold.

(1 mark)

Requirement e)

This requirement has been met as Grenadine has disclosed total energy consumption in gigajoules.

(1 mark)

Requirement f)

This requirement has been partially met as the disclosure does not provide full details of the standards, methodologies, assumptions and/or calculation tools used.

(1 mark)

It has, however, referenced the method it uses for calculating emissions in different scopes, and it may be that some of the additional information in this particular requirement is not relevant.

(1 mark)

Requirement g)

This requirement has not been met as the disclosure does not provide the source of any conversion factors used.

(1 mark)

Total: 9 marks

Recommended improvement to Appendix 2 disclosures

Grenadine should either disclose details of fuel types used or provide a justification for the omission.

(1 mark)

Grenadine should provide full details of the standards, methodologies, assumptions and/or calculation tools used in relation to different sources of energy or provide a justification for the omission.

(1 mark)

This would provide additional information to users in line with requirements c, f and g and/or details of the reasons for any omissions may enhance users' trust in the disclosures and reassure them that the disclosures are balanced.

(1 mark)

Total: 3 marks

Total marks (18 marks)

Question 4: Solution

Pompadour plc

Requirement 1 - Advising the board of directors

The extent to which they have to use the SASB standard in identifying topics, risks and disclosures

IFRS® S1 states that Pompadour must refer to and consider the applicability of the disclosure topics in the SASB Standards in identifying sustainability-related risks and opportunities and applicable disclosure requirements.

(1 mark)

So, while the directors have to refer to the SASB standard and consider using it, they do not actually have to use it in full.

(1 mark)

Whether they can omit some topics in the SASB standard

Therefore, they can omit some disclosure topics if they conclude that some or all of the disclosure topics are not applicable to Pompadour's particular circumstances.

(1 mark)

However, they must be able to justify this on the grounds that the topics omitted are not relevant. They cannot simply choose to omit negative information.

(1 mark)

Information should be included where it is relevant, and disclosures should be neutral (ie not overly positive or negative).

(1 mark)

Whether they can omit or change some metrics in the SASB standard if it is impractical to obtain the data

The SASB standard identifies appropriate metrics and, in many cases, these are widely used within the industry.

(1 mark)

However, it is a principle of IFRS® S1 that an entity is not required to carry out an exhaustive search for such information. The information should be available without undue cost or effort.

Therefore, Pompadour can omit some metrics and substitute others, providing that the resulting disclosures meet the overall objective.

(1 mark)

Tutorial note: In practice, Pompadour may decide to use sustainability-related risks and opportunities identified by other entities that operate in the housebuilding industry and/or other comparable companies operating in Scotland as a source of guidance.

Requirement 2 - Advising Georgina on ethical issues that might arise

Ethical issue

Directors may try to include or exclude some topics to over-emphasise or obscure elements of Pompadour's performance to avoid disclosing negative information.

(1 mark)

Integrity

If Georgina prepared the sustainability-related disclosures to present a favourable view of Pompadour this would mislead stakeholders and would not be in keeping with the principle of integrity which requires an accountant to be straightforward and honest.

(1 mark)

Objectivity

There is a threat to Georgina's objectivity as she may be subject to undue influence from the board of directors to present a biased account of Pompadour's performance.

(1 mark)

Professional competence and due care

As a CA, Georgina is required to act with due care when completing her work, and failing to adhere to the full requirements of the SASB standards when preparing the sustainability-related disclosures would breach this ethical principle.

(1 mark)

Professional behaviour

It may also be a threat to professional behaviour if she is expected to avoid complying with the disclosure requirements and doing so may risk discrediting the profession.

(1 mark)

Total marks (12 marks)

Question 5: Solution

Lincoln Ltd

Requirement 1 - Advising the board of directors

a)
ESRS classifies stakeholders as:

- Affected stakeholders: individuals or groups whose interests are or could be affected by Lincoln's activities and its direct and indirect business relationships across its value chain.
- Users of sustainability statements: primary users of general-purpose financial reporting, ie existing and potential investors and lenders and other users, such as business partners, employees and their trade unions, governments, etc.

(2 marks)

b)
Employees are likely to be classified as affected stakeholders.

(1 mark)

Employees will be classified as affected stakeholders because they will be directly impacted by Lincoln's activities and, in particular, by its plans to require retraining and a move to shift working.

(1 mark)

Key customers are likely to be classified as affected stakeholders.

(1 mark)

This is because key customers will be directly impacted by Lincoln's activities and, in particular, will benefit from higher-quality equipment, which will have a positive impact across their own value chain.

(1 mark)

Requirement 2 - Suitable methods of engaging with stakeholders

Lincoln could continue to use online surveys and questionnaires, as it has in the past.

(1 mark)

Surveys and questionnaires are relatively inexpensive ways of engaging with many people in a given stakeholder group or groups and can provide useful information, as everyone responding to the survey will answer the same questions.

(1 mark)

Lincoln could also consider focus groups with representatives from key stakeholder groups, such as employees or key customers.

(1 mark)

Focus groups can be a good compromise between the impersonal and limited information available through surveys and the resource-intensive nature of one-on-one interviews.

(1 mark)

Total marks (10 marks)

Question 6: Solution

Nymphea plc

Requirement 1 - Comparing the status of the key stakeholders

IFRS® Sustainability Disclosure Standards require entities to provide sustainability-related financial information to the primary users of the information, ie existing and potential investors and lenders.

(1 mark)

ESRS requires that Nymphea's sustainability disclosures address the information needs of all stakeholders within the value chain i.e. individuals or groups whose interests are affected, positively or negatively, by Nymphea's activities and business relationships.

(1 mark)

Therefore ESRS are aimed at a wider range of stakeholders than IFRS Sustainability Disclosure Standards.

(1 mark)

Requirement 2 - Engagement with stakeholders

ESRS identifies stakeholders as:

- Affected stakeholders: individuals or groups whose interests are or could be affected by Nymphea's activities and its direct and indirect business relationships across its value chain.
- Users of sustainability statements:
  - primary users of general-purpose financial reporting, ie existing and potential investors and lenders
  - other users, such as business partners, employees and their trade unions, governments, etc.

(2 marks)

The groups that Nymphea has already identified (clients, employees, independent contractors) will be classified as affected stakeholders.

(1 mark)

Local communities and other suppliers are also likely to be affected stakeholders since their interests are or could be affected by Nymphea's activities and relationships.

(1 mark)

Nymphea should engage with a variety of stakeholders to gather different perspectives.

(1 mark)

Nymphea should use different channels and methods of engagement, which could include surveys, focus groups, interviews and formal meetings with representatives of management and/or committees (eg a sustainability committee).

(1 mark)

The results of this engagement (eg outputs from consultations) should then inform the process of identifying the material impacts for the purposes of sustainability reporting.

(1 mark)

Total marks (10 marks)

Question 7: Solution

Jasper Ltd

A key element of the assessment of effective governance is the overall structure of sustainability governance and how the responsibility for sustainability is delegated.

(1 mark)

If Jasper recruits a director with specific responsibility for sustainability, this could improve governance by identifying it as the responsibility of a board-level director.

(1 mark)

The competency of governance bodies and their members assigned to oversight roles is determined based on their knowledge, skill sets and experience related to sustainability and industry-specific issues.

(1 mark)

Having an experienced director would, therefore, contribute to an improved quality of governance. Ideally, this person would also have relevant industry experience.

(1 mark)

Adding sustainability to the responsibilities of the risk management committee would improve the company's focus on sustainability-related risks.

(1 mark)

This may involve establishing a standalone sustainability committee to give prominence and appropriate resources to the issue of sustainability or integrating sustainability risk management with other risk management.

(1 mark)

The roles and responsibilities of the committee(s) and the members should be clearly defined in the terms of reference.

(1 mark)

Alignment of compensation to sustainability metrics may improve sustainability performance as it aligns directors' interests with the company's aims.

(1 mark)

This does not necessarily improve financial performance. In fact, there may be a conflict between sustainability- related and financial objectives, especially in the short term.

(1 mark)

Therefore, the chief executive officer or board may conclude that directors' remuneration should remain based on the primary objective of financial performance.

(1 mark)

Total marks (10 marks)

Question 8: Solution

Silverline Transport Ltd

Requirement 1 - Assessing whether Silverline could be engaged in greenwashing

The information appears to be factually correct. Assuming the laboratory tests have been carried out appropriately, the data is valid as lab-generated data.

(1 mark)

However, since the tests were carried out by the coach manufacturer and the methodologies and protocols are not known, it would be appropriate to check if the data from the tests have been independently verified.

(1 mark)

As the data relating to the emissions from cars are published, the process of obtaining the data was likely rigorous. If references are provided for the data, they could be said to be reliable.

(1 mark)

However, since the analysis focuses on the emissions per passenger being significantly less by coach than by car and that high-emission car models have been used for the comparison, the analysis may be misleading.

(1 mark)

There is also a clear conflict of interest both for Silverline and the coach manufacturer to make coach travel appear to be a lower-emission mode of transport.

(1 mark)

Publishing the information in its current form would likely be greenwashing.

(1 mark)

The disclosures would not meet the qualitative criteria set out in IFRS® S1 of relevance, faithful representation and accuracy.

(1 mark)

Requirement 2 - Ethics

Ethical issue

The operations manager has accepted your concerns but has stated that it does not matter as the overall position is true and has reminded you that reporting positive sustainability matters is important to Silverline's future success.

(1 mark)

Integrity

This represents a threat to your integrity. This is because Fola would be knowingly presenting misleading information in the sustainability disclosures and, therefore, cannot be said to be honest and straightforward.

(1 mark)

Objectivity

There is a threat to your objectivity because the operations manager is applying pressure on you to report a positive sustainability picture for the ongoing success of Silverline.

(1 mark)

Action

You should not knowingly disclose misleading information in the sustainability report.

(1 mark)

Total marks (11 marks)

Question 9: Solution

Scarlet Travel plc

Requirement 1 - Accounting for Fleet C in the financial statements

The announcement by the local council indicates that the assets may be impaired in accordance with IAS 36 *Impairment of Assets* as the recoverable amount of the assets may be less than their current carrying amount.

(1 mark)

Fleet C is a cash-generating unit (CGU) in accordance with IAS 3 as it is the smallest identifiable group of vehicles that generates independent cash flows.

(1 mark)

The recoverable amount is the higher of the value in use £1,750,000 and the fair value less costs to sell of £1,520,000 and is therefore £1,750,000.

(1 mark)

As the recoverable amount is less than the carrying amount at 31 December 20X5, the asset is impaired and an impairment loss of £700,000 (£2,450,000 - £1,750,000) must be recognised.

(2 marks)

The loss of £700,000 would be presented in the statement of profit or loss within the operating category. If it was considered to be material, it would be disaggregated and presented as a separate line item.

(1 mark)

The fleet will be presented as part of property, plant and equipment in the statement of financial position at its recoverable amount of £1,750,000.

(1 mark)

Requirement 2 - Climate-related risks and opportunities

a)
Climate-related risks

The changes to local authority taxi licensing policies, which restrict or ban the use of diesel vehicles, are already affecting ST's financial performance.

(1 mark)

Further changes represent a risk to ST's future financial performance and prospects, including future cash flows and the ability to access finance.

(1 mark)

The change may increase ST's future costs or reduce revenue if ST reduces the scale of its operations, both of which would reduce profitability and may even threaten the company's viability.

(1 mark)

This would be classified as a climate-related transition risk in accordance with IFRS® S2.

(1 mark)

The risk has arisen from the transition to a lower-carbon economy. In this case, there are current and likely future legal restrictions imposed by local authorities.

(1 mark)

Climate-related opportunities

There may also be climate-related opportunities associated with this transition. For example, these opportunities might include lower running costs of electric vehicles, the ability to serve customers with a preference for and/or willingness to pay a premium for travel in an electric vehicle. These would be disclosed as climate-related opportunities.

(1 mark)

Total marks (13 marks)

Question 10: Solution

Emerald plc

Requirement 1 - Evaluating whether Emerald's draft disclosures meet SASB requirements

Overall

The draft disclosures do not fully comply with the Climate Adaption disclosure requirements of the SASB standard.

(1 mark)

IF-HB-420a.1 Requirement 1

The number of lots located in 100-year flood zones has not been disclosed, so this requirement has not been met.

(1 mark)

IF-HB-420a.2 Requirement 1

This requirement is partially met as there is some description of the climate change risk exposure analysis and mitigation strategies.

(1 mark)

IF-HB-420a.2 Requirement 1.1

Emerald has included a description of climate change risk exposure analysis and its strategies for mitigating risks.

(1 mark)

However it has not clearly identified any climate-related opportunities, although the development of low-carbon and net-zero homes is mentioned.

(1 mark)

IF-HB-420a.2 Requirement 1.2

This requirement is not met as there is no indication of whether the risks identified are expected in the short, medium or long term.

(1 mark)

IF-HB-420a.2 Requirement 2

This requirement is partially met as the disclosure states that the board systematically considers the impacts of climate change in strategic and operational decision-making, indicating that climate considerations are incorporated into governance and strategy. However, the disclosure does not explain the specific processes or analytical methods used to assess or monitor climate risks.

(1 mark)

IF-HB-420a.2 Requirement 2.1

The requirement to disclose alleviation strategies is met as there is disclosure of land holdings for climate resilience and plans to design products to meet future regulatory developments.

(1 mark)

IF-HB-420a.2 Requirement 2.2

The requirement to disclose adaption strategies is met as there is disclosure of design features such as home orientation, window sizing, construction methods and insulation, which may contribute to resilience and efficiency. However, the disclosure does not clearly explain how these measures address specific physical climate risks.

(1 mark)

IF-HB-420a.2 Requirement 3

The requirement is partially met as the disclosure mentions physical measures such as land planning for climate resilience but does not cover any financial mechanisms.

(1 mark)

Advising the finance directors

Wider stakeholders

As Emerald is applying IFRS Sustainability Disclosure Standards, it is not required to consider wider stakeholder groups.

(1 mark)

IFRS Sustainability Disclosure Standards are intended to provide information that is useful to the primary users (shareholders and lenders) in making decisions about providing resources to the entity.

(1 mark)

Why SASB Standards are referred to

IFRS S1 *General Requirements for Disclosure of Sustainability-related Financial Information* requires entities to consult the SASB Standards and other resources of guidance, where a specific IFRS Sustainability Disclosure Standard is not available.

(1 mark)

The only specific IFRS Sustainability Disclosure Standards currently available is IFRS S2 *Climate-Related Disclosures*, which will provide guidance on identifying and disclosing climate-related risks and opportunities, but will not provide the specific detail available in the SASB standard.

(1 mark)

Sources of guidance

The following sources of guidance are likely to be most relevant to Emerald in identifying climate-related risks:

- Guidance from other standards or frameworks, eg GRI, ESRS, or previous frameworks used by reporting entities, such as guidelines from the Task Force on Climate-Related Financial Disclosures (TCFD) or the Climate Disclosure Standards Board (CDSB).

(1 mark)

- Disclosures by other entities that operate in the housebuilding industry.

(1 mark)

Tutorial note: The above sources of guidance are likely to be most relevant. Other potential sources of guidance in IFRS S1 para 55 are general and are not specific to identifying climate-related risks.

Total marks (16 marks)

Question 11: Solution

Topaz Airline Company plc

Requirement 1 - Advising on whether IFRS Sustainability Disclosure Standards meet the needs of primary users

The primary users of IFRS Sustainability Disclosures Standards and current and potential investors and lenders.

(1 mark)

The primary users of financial statements are interested in information that is useful in making decisions relating to providing resources to an entity.

(1 mark)

Climate-related disclosures prepared in accordance with IFRS® Sustainability Disclosure Standards provide information on an entity's risks and opportunities that are expected to have an impact on the future prospects of an entity.

(1 mark)

Information on matters that have an impact on the future prospects of the entity will be relevant in making investment decisions.

(1 mark)

Requirement 2 - Evaluating the potential financial impact of each of the risks identified by Callum

Risk	**Potential financial impact**
(1) Fall in customer spend due to perceptions of sustainability progress in TAC or the aviation sectorgenerally	Customers change frequency of flying, duration of trips, or spend less relative to other carriers or othertravel modes **(1 mark)**
(2) Exposure to acute weather events	Lost revenue due to additional flight disruption and additional costs associated with mitigation and passenger compensation costs **(1 mark)**
(3) Restrictions on routes or airports	Lost revenue due to inability to operate flights or restrictions on timing or type of aircraft, increased costs associated with meeting restrictions (eg on typeof aircraft) **(1 mark)**
(4) Impact of EU and UK climate policy	Additional costs of compliance and lost revenue, competition from subsidised alternatives **(1 mark)**
(5) Exposure and resilience of routes and assets tochronic climate changes	Reduced profitability on particular routes, lost revenue from reducing flights to climate-affected destinations,increases in operational maintenance costs **(1 mark)**
(6) Supply chain readiness: availability and price ofinputs	Sustainability compliance or technology change causing unplanned changes in cost of goods and services provided to TAC and/or associated suppliermanagement costs **(1 mark)**

Requirement 3 - Advising Callum

Using the Airlander 10 would allow TAC to mitigate some of the risks identified by Callum in the medium term and would be reported in the sustainability disclosures as a response to risks.

(1 mark)

It could also be a climate-related opportunity. Using the Airlander 10 would allow TAC to market low-carbon flights to customers and may create a competitive advantage for TAC over its rivals.

(1 mark)

The £1m payment cannot be recognised as a non-current asset and should be presented as a prepayment in the financial statements.

(1 mark)

To give users relevant information, the details of TAC's business plans and the existence of the letter of intent should be disclosed in the notes to the financial statements.

(1 mark)

Total marks (15 marks)

Question 12: Solution

Heliodor plc

Requirement 1 - Assessing the importance of stakeholder engagement to Heliodor's sustainability reporting

For reporting in accordance with GRI Standards, Heliodor must report the impact of its activities on stakeholders (impact materiality).

(1 mark)

Stakeholders have a key role to play in reporting because they are affected by an entity's actions and they can provide Heliodor with information on what they consider to be the most significant issues and impacts.

(1 mark)

For reporting in accordance with IFRS® Sustainability Disclosure Standards, Heliodor will report the impact of sustainability issues on its financial performance and prospects (financial materiality).

(1 mark)

Therefore, Heliodor does not need to engage with stakeholders at all because it does not need to direct any reporting to stakeholders other than the primary users of general-purpose financial reports (actual and potential investors and lenders).

(1 mark)

Requirement 2 - Advising on issues likely to be most material to Heliodor's reporting

For stakeholders, Issue A is most important, followed by Issues B and C. Therefore, for reporting in accordance with GRI Standards, these issues will be treated as being of high importance.

(1 mark)

In terms of financial impact, Issue F is most important, followed by Issues C and G. Therefore, reporting in accordance with IFRS® Sustainability Disclosure Standards, these issues will be treated as of high importance.

(1 mark)

Issue C is the one issue which has medium to high importance on both criteria and would, therefore, be important to report under both GRI and IFRS® Sustainability Disclosure Standards.

(1 mark)

Issue H has low importance to stakeholders and is considered to have low impact on Heliodor's financial position and prospects and so this issue will be deprioritised in reporting.

(1 mark)

Total marks (8 marks)